

CHARTWELL RETIREMENT RESID CSH.UN

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by			preyingmantis	
			2026	2027
Price:	20.92	EPS	0	0
Shares Out. (in M):	328	P/E	0	0
Market Cap (in \$M):	6,900	P/FCF	0	0
Net Debt (in \$M):	3,300	EBIT	0	0
TEV (in \$M):	10,200	TEV/EBIT	0	0

Description

Thesis Summary

Chartwell is Canada's largest pureplay private pay seniors housing operator, with ownership interests in roughly 26,000 suites across Ontario, Quebec, Alberta and British Columbia. The stock trades at approximately \$21 CAD, or about 18x our estimate of 2027 AFFO.

Canada's senior population growth is beginning to accelerate while the industry has stopped adding enough capacity to accommodate that growth. The population aged 75 and older should rise from roughly 3.4 million in 2024 to just over 6 million by 2040, while the 85+ population roughly doubles from 900,000 to 1.9 million. The 75+ cohort is growing at roughly 4% annually this decade, materially faster than during the previous ten years.

We estimate Canada needs roughly 20,000 additional seniors housing suites each year to keep the market in balance. Based on our work, fewer than 10,000 suites are currently under construction nationally and fewer than 5,000 were delivered in 2025. Those deliveries were also more than offset by closures of older residences, leaving net new supply negative for the year. On current penetration rates, we estimate that roughly 175,000 additional retirement suites will be required by 2036, compared with only about 70,000 built during the previous decade.

That supply/demand imbalance is already acute + showing up in occupancy across the industry today. Industry wide Canadian seniors housing occupancy has recovered from roughly 79% in 2021 to 92% in 2025 and is moving toward the mid-90s by year end 2026. Chartwell's same-property portfolio reached 94.3% in Q2 and September occupancy has already been disclosed at 95.0%.

Thus, while the earnings growth of the last several years came in large part from refilling the vacancies created during COVID, we believe CSH sits at an important inflection point in revenue per occupied suite. In fact, revenue per occupied suite is up 4.8% year to date against only 1.9% growth in direct operating expense per occupied suite. And, while the average resident stays roughly three years, around one-third of the resident base turns annually - which should give Chartwell a large opportunity to reset a meaningful portion of the portfolio to prevailing market rents over the next several years.

In our view, Chartwell's same-property portfolio should increasingly grow through rent and margin expansion, while the newer growth portfolio still has several hundred basis points of occupancy to capture. At roughly 18x 2027 AFFO, CSH is priced for a much shorter growth runway than we think lies ahead.

Business Overview

Chartwell owns interests in approximately 143 retirement residences comprising roughly 26,300 suites. The portfolio is overwhelmingly private pay, with about 84% of suites in independent supportive living, 7% assisted living, 6% independent living apartments and only 3% remaining in long-term care. Ontario accounts for roughly 46% of NOI, Quebec 32%, and Alberta and British Columbia approximately 11% each.

The private-pay model gives Chartwell considerably more control over revenue than a government-funded long-term care operator. Residents pay directly for accommodation and services (driven by declining mobility, the death of a spouse, cognitive deterioration or the increasing difficulty of living independently).

Most Canadian seniors still live at home, frequently with support from spouses or family members. That arrangement becomes harder to sustain as the population ages. Nearly 1/3 of Canadian caregivers are already over the age of 65, while the ratio of potential caregivers to people over 75 continues to fall. Older households are also in a somewhat stronger financial position relative to working age households than they were twenty years ago.

Chartwell is therefore serving a population that is growing quickly at the same time that the informal care capacity available to support that population is becoming more constrained.

Industry Background & Thesis

We believe the current shortage in units is the result of what has happened during the previous cycle for the industry.

Developers built aggressively during the late 2010s in anticipation of the baby boomer population reaching retirement age. Unfortunately, supply arrived before the demand had fully developed, occupancy softened, and COVID then pushed it materially lower. The pandemic also drove labor, agency staffing and other operating costs sharply higher, leaving most of the industry focused on repairing occupancy and balance sheets rather than building new properties (see SNDA, WELL, BKD in the US which experienced the same dynamic).

Construction activity subsequently fell just as the demographic curve began to steepen. A modern suburban retirement residence now costs roughly C\$700,000-C\$800,000 per suite to build and can exceed C\$1 million for higher end product. Chartwell has been able to acquire relatively new residences at roughly C\$300,000-C\$430,000 per suite over the last several years.

Since COVID, construction inflation has begun to moderate, land prices have softened and governments are improving project economics in certain jurisdictions, so supply should eventually respond. However, we believe that it simply cannot respond quickly enough.

A retirement residence generally takes two to three years to design, entitle and build, followed by a lease up period before the property reaches mature

economics. The capacity that can realistically compete with Chartwell over the next several years is largely visible today. In fact, fewer than 10,000 suites are currently under construction against annual demand for roughly twice that amount, and the existing stock is simultaneously losing older properties to closure and redevelopment.

At existing penetration rates, Canada requires roughly 175,000 additional suites by 2036. Only about 70,000 were built over the preceding decade.

We believe that the gap between those numbers should keep occupancy/pricing elevated for some time.

Chartwell's same-property occupancy fell to roughly 76% in early 2022 and has since recovered to around 95%. For context, the portfolio has averaged approximately 85.5% occupancy since 2018. Western Canada was already at 97.3% at the end of 2025, Quebec was at 95.2%, and Ontario remained somewhat lower at 92.9%.

The recovery generated enormous operating leverage. Same-property NOI increased 18.4% in 2025 and margins expanded 330 basis points to 41.7%. In Q2 2026, NOI increased another 11.9% and margins reached 42.5%.

As occupancy settles around the mid-90s, less growth will come from filling empty suites. Our view is that growth will come from the revenue earned on the existing resident base and the spread between that revenue growth and property-level expenses.

Revenue per occupied suite is up 4.8% year to date while direct operating expense per occupied suite is up 1.9%. Management's medium-term framework calls for revenue per occupied suite to grow by more than 4% annually while expense growth remains below 4%.

The turnover profile makes that pricing opportunity recur fairly quickly. The average resident remains in seniors housing for approximately three years, implying annual turnover of around one-third of the resident base. A meaningful share of the portfolio therefore resets to prevailing market rates each year, while existing residents receive contractual or service-related increases subject to provincial rules.

Canadian seniors housing rents have compounded at roughly 4% annually over the past five years. I would underwrite something around 5-6% over the next several years due to the current supply/demand imbalance.

Chartwell also has considerable occupancy growth left outside the mature portfolio. Approximately 62% of the portfolio is currently classified as same-property, 28% as growth and 10% as repositioning. The growth portfolio consists primarily of acquisitions and developments that have not yet stabilized and was only 90.7% occupied in Q2.

Every 100 basis points of occupancy across the portfolio is worth roughly C\$13 million of annualized revenue. The properties still leasing are generally newer and larger than the legacy portfolio, and management expects them to stabilize at margins in the mid-40s, with the better assets capable of approaching 50%, versus 42.5% in the current same-property pool. Agency staffing costs have also fallen 43% year to date, providing another source of margin improvement as the newer portfolio matures.

The earnings progression from here is therefore quite different from the last few years. The mature portfolio should settle into a model driven more by rate and cost leverage, while the growth portfolio still has the occupancy and margin progression that the same-property portfolio has just gone through. As those assets stabilize, they expand the earnings base on which future rate increases are applied.

Capital Allocation

Chartwell has been using the improvement in its operating performance and balance sheet to change the composition of the portfolio.

Over the past two ish years, the company has acquired interests in roughly 9,800 suites for approximately C\$2.4 billion, or C\$310,000 per suite. The average acquired property is less than ten years old versus roughly twenty years for Chartwell's broader portfolio.

The company has simultaneously been selling older properties that require more capital or no longer fit the portfolio. Its three year plan calls for more than C\$2 billion of acquisitions and developments through 2028, partly financed by approximately C\$1 billion of non-core dispositions. Since 2018, Chartwell has sold interests in 50 non-core properties representing roughly 6,000 suites or beds.

The result should be a larger portfolio, but more importantly a younger one. Newer residences tend to be larger, require less near-term capex and can operate more efficiently once occupied. The recently acquired portfolio is therefore both a source of near-term lease-up and a gradual improvement in the quality of Chartwell's long-term earnings base.

The development partnerships provide another way to source those assets. Chartwell's relationship with Batimo dates back to 2014 and has already resulted in the acquisition of roughly 3,100 stabilized suites for approximately C\$801 million, or C\$298,000 per suite. Chartwell operates the properties and receives contractual rights to acquire them once defined stabilization thresholds are met.

The company is now extending the model to additional developers. Its current third-party pipeline includes roughly 900 suites, with several forward purchases expected to occur at stabilized yields in the 6.5-7% range. The broader development opportunity identified by management reaches several thousand additional suites.

That structure gives Chartwell access to newly built inventory without requiring it to fund the entire construction period itself. In a market where relatively little new product is being created, establishing a pipeline of assets before they reach stabilization has enormous real strategic value.

Management has also placed explicit limits around the program. FFO dilution from unstabilized properties and on-balance-sheet development is capped at 5% in any year, annual on-balance-sheet development at C\$200 million, annual forward purchases at C\$500 million and aggregate forward-purchase exposure at C\$1.5 billion, with additional limits on developer and mezzanine concentration.

Those constraints become more relevant as transaction markets improve. Class A retirement cap rates have already compressed as more institutional capital has entered the sector. The gap between acquisition prices and replacement cost remains attractive, but it is narrower than it was several years ago.

Balance Sheet

Chartwell's balance sheet has improved substantially since the pandemic. Net debt to EBITDA was approximately 7.0x in Q2, down from 7.8x a year earlier and well below the roughly 11.5x peak reached in early 2023. Moreover, a meaningful portion of the recent acquisition activity has yet to contribute stabilized NOI, so leverage should naturally decline as those properties mature.

The liability structure is also favorable relative to most real estate businesses. Roughly 73% of debt consists of secured mortgages and approximately 95% of the mortgage balance is CMHC insured. At year-end, about 99% of total debt was fixed rate, with a weighted average interest rate of 3.9% and a weighted average term to maturity of 5.6 years.

Near-term refinancing is manageable. Chartwell entered 2026 with roughly \$632 million of maturities carrying an average interest rate around 4.5%, while ten-year CMHC financing was available around 4.1-4.3%. Unlike many REITs that are refinancing legacy debt at materially higher coupons, Chartwell's 2026 maturity schedule should be roughly neutral to modestly accretive to earnings.

The payout ratio has also fallen materially and should move into the mid-50s, leaving more cash inside the business to fund recurring capital expenditures and a portion of future growth.

Valuation

Chartwell trades at approximately 18x 2027 AFFO. We get to roughly \$1.30 of AFFO in 2028, which assumes continued stabilization of the growth portfolio, mid-single-digit growth in revenue per occupied suite, operating expenses growing somewhat more slowly and a reasonable contribution from external growth.

At 22x, a reasonable multiple in our view, CSH would be worth approximately \$29. Including distributions, an investment today would produce a high-teens annualized return over the next couple of years.

A low-20s multiple seems reasonable if Chartwell reaches 2028 with the mature portfolio already around 95% occupied and AFFO per unit still growing somewhere around 10%. By then, the market would have several years of evidence that earnings growth has continued after the large post-COVID occupancy recovery ran its course.

Chartwell has historically traded at a discount to the large U.S. private-pay seniors housing companies, which is appropriate given its smaller scale, lower liquidity and Canadian listing. The current discount is much wider than usual. The forward AFFO spread to Welltower has averaged roughly eight turns since 2018 and is around twenty turns today. Relative to the broader U.S. private-pay group, Chartwell's historical discount has been closer to three turns and is currently around twelve.

We do not assume Chartwell closes that gap. Even a modest normalization in the multiple applied to a materially larger AFFO base is enough to generate an attractive return.

There is also upside within the portfolio before assigning much value to future acquisitions. At roughly 95% occupancy across the retirement portfolio and a 45% margin, we get to approximately C\$1.40 of AFFO per unit and NAV in the high C\$20s. We would treat that as a useful view of mature portfolio earnings power rather than the base case.

The underwriting ultimately rests on a fairly conservative set of assumptions. The growth portfolio moves gradually toward mature occupancy, resident revenue continues to grow around the mid-single digits, operating costs grow more slowly, and management remains disciplined.

Risks

Affordability may place a natural limit on pricing. The demand for seniors housing is needs-based, but families still have finite resources and provincial regulation constrains increases on parts of the existing resident base. A period in which revenue per occupied suite falls back toward inflation while labor costs accelerate would reduce NOI growth considerably.

Labor remains the largest operating expense. Agency usage has declined sharply and staffing conditions have improved, but another shortage of nurses or care staff could quickly absorb part of the benefit from higher rents.

New construction will eventually return as higher rents, softer financing costs and more stable construction expenses improve development returns. The current pipeline makes a material response difficult before the end of the decade, but the present shortage should not be viewed as permanent.

Capital allocation can also overwhelm an otherwise attractive setup. Chartwell has become one of the more active buyers in Canadian seniors housing at the same time that institutional interest in the asset class is increasing. Paying too much for acquisitions or relying excessively on equity issuance would reduce the per-unit returns that make the investment attractive.

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Catalyst

Earnings growth.

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Messages

Subject	Versus US Peers?
Entry	08/28/2026 05:02 PM
Member	blaueskobalt

Hi preyingmantis,

Why CSH over US peers? Obviously, CSH is cheaper than WELL/VTR/AHR/JAN, but it is more expensive than SNDA/BKD and a few others. Fundamental reasons to prefer US peers:

- Supply response is nearer in Canada: development is starting to pencil across Canada, while most pricepoints across most markets in the US still need another 10-25% rent growth
- CSH vacancy is lower, implying less upside from occupancy gains
- CSH margins are meaningfully higher, meaning less operating leverage on revenue growth

How do you quantify the above versus the pricing?

Subject	Re: Versus US Peers?
Entry	08/28/2026 07:12 PM
Member	preyingmantis

blaueskobalt,

Thanks for the questions.

On supply, Canada still has <10k suites under construction versus ~20k needed annually, net supply was negative last year, and there were only **six** starts within 5km of a Chartwell property across its top 15 markets over the last few months. Even if starts accelerate now, these are 2-3 year builds and the projects being started today are really 2029/30 supply. I'm happy to concede the US shortage may last longer, but I don't see a Canadian supply response that changes CSH's 2026-30 earnings setup.

Meanwhile, CSH is ~18x 2027 AFFO with growth still running double digits into 2028. WELL is ~37x and VTR ~27x. They deserve premiums given the extra operating leverage, balance sheets and cost of capital, but those are very large (and historically high) premiums. SNDA/BKD are the more interesting comparisons because they are cheaper and have more upside if occupancy normalizes, but there is also materially more execution embedded in that outcome in our view. SNDA is integrating a much larger acquired portfolio and BKD still has a long tail of very low quality assets plus much more financial leverage.

So I wouldn't argue CSH has the most upside in the group. I think it has the best combination of visibility and price. If AFFO growth fades to 3-4% quickly, 18x is probably fair. If CSH can still grow per unit ~10% several years from now as the growth portfolio matures and rate remains mid-single digit, I think 18x is too low.